

Ugears
Commercial T&Cs 2025

Ugears reserves the right to change these T&Cs at any moment on its sole discretion.

1. Terms and definitions

When capitalized the following terms/abbreviations have the following meaning:

Back Bonus – bonus designed to motivate and encourage Distributors to increase sales of Ugears products calculated according to section 5 of these T&Cs;

Branded Retail Displays (BRD) - retail display equipment to merchandize Ugears products. Part of trade marketing;

DEMO Cubes (DC) - retail display equipment to demonstrate assembled Ugears models. Part of trade marketing;

Distributor - a person or company buying products from Ugears and selling them for a profit to other businesses or consumers;

EAN (European Article Number) code - a standard describing a barcode symbolic and numbering system used in global trade to identify a specific retail product type;

Front Discount – a discount given by Ugears that depends on the sum of the invoice issued by Ugears;

GTM (Go-to-market) - a process through which the Distributor/Wholesaler introduces and sells its products or services to its target audience.

KA (Key Account) – aggregate and anonymized information on the Distributor/Wholesaler's sales of Ugears products to the major buyers;

Threshold – agreed upon minimum amount of the Distributor/Wholesaler's sales of Ugears products;

OKR (Objectives and Key Results) – markers used to measure the Distributor/Wholesaler's progress calculated according to section 4 of these T&Cs;

PO (Purchase Order) – a form provided and regularly updated by Ugears that the Distributor/Wholesaler shall use to order Ugears products;

RWP | RRP (Recommended wholesale and retail prices) – described in section 2 of these T&Cs and used to calculate Front Discount or OKRs. Nothing restricts the Distributor/Wholesaler's right to set its own resale prices;

Sell-In – the aggregate amount of all invoices issued by Ugears and paid by the Distributor or Wholesaler during the corresponding 6-month period (calculated twice a year on August 15th and February 15th in the supply contract currency) minus taxes directly related to the sales paid by/due from Ugears as well as shipping and handling expenses;

Sell-Out - the aggregate amount of all sales of Ugears products made by the Distributor/Wholesaler during the corresponding period (calculated in the supply contract currency) used to measure success in achieving the Threshold;

Wholesaler - a person or company buying products from Ugears and selling them for a profit to other businesses.

2. RWP | RRP

2.1. RWP | RRP are indicated in the price lists issued regularly by Ugears and distributed via e-mail. As envisaged by our template supply contract, any Distributor/Wholesaler is free (without any obligation) to consider recommended wholesale and retail prices that we may provide and any Distributor/Wholesaler retains full discretion in determining the price at which it resells.

3. Distributor/Wholesaler's Front Discount

Distributor/Wholesaler's Front Discount is calculated from the RRP. Level of the Distributor/Wholesaler's Front Discount differs based on the distribution level, order volume and the currency of the supply contract.

3.1. For the orders less than 50k (<50k) in the respective currency:

Distribution level	Currency	Original Catalogue (Partner's Front Discount)	Licensed Products (Partner's Front Discount)
Distributors	USD	70,0%	62,0%
Wholesalers (incl .VAT)	USD	58,3%	50,0%
Wholesalers (excl .VAT)	USD	50,0%	40,0%

3.2. For the orders more than 50k (>50k) in the respective currency (only for Distributors):

Distribution level	Currency	Original Catalogue (Partner's Front Discount)	Licensed Products (Partner's Front Discount)
Distributors	USD	72,0%	64,0%

4. Distributor/Wholesaler's Back Bonus (Distributors level only)

4.1. Objectives:

- Efficient sales channel development: encourage partners to develop sales channels effectively.
- Market feedback: encourage Distributor/Wholesaler to provide aggregated and anonymized sales reports and market feedback.
- Implement Thresholds for the Distributor/Wholesaler.

4.2. Distributor/Wholesaler's categorization:

Defining points within the following 6 OKRs:

4.3. Sell-Out results for the previous year (TTL USD)

Sell-Out results for the previous year, TTL USD	MAX 4 points
<10 000	0
10 000-99 999	2,0
100 000 – 199 999	2,5
200 000-499 999	3,0
>500 000	4,0

4.4. Stock level ratio as per Jan 1st (Months of sales based on Q1 sell-out forecast)

Stock Level ratio, Months of sales	MAX 2 points
<=2.5	2
2.6-4	1,5
4.1-5	1
=>5.1	0

Example: Stock level as per Jan 1st is 100 000 USD. Sell-Out forecast for Q1 is 150 000 USD (50k a month per average). Stock level ratio is 100 000 USD/50 000 USD = 2 months of sales

4.5. Marketing budget for the previous year (TTL USD)

Marketing Budget (% of Sell-Out turnover excl. Front Discount), for the previous year	MAX 2 points
0-5%	0
6-9%	1
10% - 14%	1,5
15%	2

4.6. Local Ugears mono brand website

Yes – 1 | No - 0

4.7. Reporting discipline

Timely sent correct monthly reports. 12 accurate reports during the year – 1 | 11 accurate reports – 0.5 | Less than 11 reports - 0

4.8. Cooperation with KA/retailers and participation in B2C seasonal fairs (contribution of KA|retailers and B2C seasonal fairs sell out volume in the whole Sell-Out of the Distributor)

>30% - 2 | 15-29% -1 | <15% - 0

Adding the partner's points calculated within every OKR with a maximum possible result of 12 points.

Allocating the partner into one of the following three categories based on the sum of the points:

- 8.5 -12
- 5.5-8
- 0-5.5

4.9. Categories by OKRs

8.5 - 12 points:

- Front margin based on PO volume according to the pp 3.1., 3.2. (<50k or >50K).
- Possible payment postponement (NET 30 days) for the high season on POs during the period (SEP 25th - NOV 25th). May be applied max to 50% of the respective invoice amount. Valid only if there are no overdue/debts on the Distributor/Wholesaler's side. Requires prior written agreement with Ugears.

- Trade marketing materials 1.5% of previous year Sell-In (Included Assembled Models) if Sell-Out contribution of KA|retailers <50% and 5% of previous year Sell-In (Included Assembled Models) if Sell-Out contribution of KA|retailers >50%

5.5-8 points:

- Front margin on all PO according to the p.3.1. (price list <50k)
- Possible payment postponement (NET 20 days) for the high season on POs during the period (SEP 25th - NOV 25th). May be applied max to 40% of the respective invoice amount. Valid only if there are no overdue/debts on the Distributor/Wholesaler's side. Requires prior written agreement with Ugears.
- Trade marketing materials 1% of previous year Sell-In (DCs, BRDs).

0-5.5 points:

- Front margin on all PO according to the p.3.1. (price list <50k)
- Trade marketing materials 0.8% of Sell-In (DCs, BRDs).
- Standard terms and conditions for cooperation.

5. Back Bonus program:

Back Bonus paid to Distributors for Sell-In =>100% Sell-In plan achievement twice a year – after H1 and H2 for the past 6 months Sell-In volume:

H1 – by August 15th

H2 – by February 15st

Back Bonus conditions may be reconsidered by Ugears depending on commercial and business goals for upcoming semester. If changes occur, Ugears will inform Distributors in written.

- 8.5 - 12 points: Back Bonus 1.0% only on orders less than <50K during the past semester
- 5.5-8 points: Back Bonus 1.0% on all orders.
- 0-5.5 points: Back Bonus 0.5% on all orders

6. Sales planning process

Sales planning suggests setting the Threshold.

Ugears and Distributors/Wholesalers should be using PSI (Purchase / Sale / Inventory) to measure success in achieving the Threshold.

- Purchase – the Distributor/Wholesaler's Sell-In
- Sale – the Distributor/Wholesaler's Sell-Out
- Inventory – the Distributor/Wholesaler's stock of Ugears products

This approach allows to efficiently use the production and logistics pipelines.

Annual Sell-In forecast broken down by months should be provided by the Distributor/Wholesaler by 31st of January. Final agreement of Sell-In plan between the Distributor/Wholesaler and Ugears should be finalized by 28th of February and the Sell-In plan for the 1st half of the year must be ultimately set. Forecast for the 2nd half of the year may be reconsidered in July (by the 31st of July) depending on the market trends and circumstances. By the 31st of July, Ugears and the Distributor/Wholesaler shall finally set the Sell-In target for the 2nd half of the current year.

7. Purchase Order procedure

By following these instructions, Ugears and the Distributor/Wholesaler ensure a smooth and efficient process for order placement, acceptance, delivery, and invoicing.

7.1. Order submission:

- The delivery shall be initiated based on the Distributor/Wholesaler's orders sent via a valid PO form.
- PO file with order should be sent to the following email address: distrib@ugearsmodels.com
- Each order should include:
 - EAN/SKU, product name, quantity by full master boxes only, range, and prices of the products.
 - the total cost of the ordered consignment of the products.

7.2. Order acceptance and execution:

- **Order Placement:** The Distributor/Wholesaler sends a Purchase Order (PO) via email to Ugears. In case of any special requirements (e.g., positioning, labeling, etc.), these must be specified in the PO at the time of initial order submission.
- **Acknowledgment of Receipt:** Ugears acknowledges the receipt of the order within one business day (24 hours) and, if necessary, agrees on the available quantities of the products. Following this, Ugears sends a proforma with a list of the products to be supplied. The proforma is provided within 2-5 business days
- **Order Confirmation:** After sending the proforma, the order is considered confirmed and ready for execution. In case of any required changes to the order, the Distributor/Wholesaler must respond within one business day (24 hours).
- **Expected Shipping Date:** Ugears informs the Distributor/Wholesaler of the expected order readiness and shipping date within five (5) business days after order confirmation.
- **Notification of Order Completion:** If the order is assembled before the stated date, Ugears promptly notifies the Distributor/Wholesaler. Once the order is completed and wrapped, no further changes can be made.

7.3. Order quantity requirement:

- The quantity of the products in every order shall be no less than 1 pallet with minimum dimensions of 0.8*1.2*1.5 meters.
- When sending the P.O. the Distributor/Wholesaler shall indicate the maximum permissible height of the pallets and the mode of transportation (ROAD, SEA, AIR).

8. Proforma document and payment terms

- Within two (2) maximum five (5) working business days upon confirmation of the receipt of the order, Ugears shall create, formalize, and forward proforma document to the Distributor/Wholesaler via email. The proforma invoice should include details such as Ugears and Distributor/Wholesaler's name and addresses, date and number of the Distributor/Wholesaler's order, description of the ordered products, price of the products, terms of delivery and payment.
- The proforma invoice serves as confirmation of the amounts due from the Distributor/Wholesaler and for making an advance payment/prepayment for the products.

- The final invoice is formalized based on the approved proforma invoice only after the order has been loaded on the transport organized by the Distributor/Wholesaler and transferred to the carrier.
- Prices specified in invoices include all expenses related to the products and delivery, including packing, marking, loading, and customs clearance.

9. Currency of payments:

- Payments are made in the currency specified in the supply contract.
- It is the Distributor/Wholesaler's responsibility to cover any additional costs associated with bank transfers.

10. Retail display equipment

These instructions clarify the procedures and policies related to DCs and BRDs, warranty, claims, etc.

10.1. Marketing support for DCs and BRDs:

- Distributors are entitled to receive marketing support equivalent from 0.8% to 1.5% of their annual turnover (Sell-In) from Ugears (based on a Distributor's category).
- DCs and BRDs can be provided in advance on free-of-charge basis.
- For North America and APAC regions local production of DCs and BRDs can be considered.
- The amount of DCs and BRDs given in advance is calculated based on the Distributor's Sell-In plan for the three upcoming months of the current year.

10.2. Warranty and claims:

- New DCs by Ugears come with a 50 days warranty, starting from the shipping date.
- Complaints within the warranty period must be submitted before the warranty end date and should include a written description of the problem along with a video report.
- If a DC has a significant manufacturing defect during the warranty period and cannot be fixed onsite, Ugears may exchange it for another model based on DC availability. This exchange is a one-time option for each DC model.
- Historical unreceived materials or unused options are not considered valid anymore, and each new year starts from a blank page.

10.3. Replacement of DCs:

- If the Distributor needs to replace DC that is currently unavailable or a warranty period for which has already expired, Ugears will regard such DC replacement as a new order placement. Previous marketing materials provided are concluded as investments and cooperation starts as new.

10.4. Claims submission:

- All claims, including those related to DCs, should be collected by UGEARS Distribution Department and provided to Ugears Research and Development Department for further analysis and improvements.
- All claims concerning DCs should be sent to the following email address: distrib@ugearsmodels.com and customerservice@ugearsmodels.com

10.5. DCs forecast:

- Forecasting DCs for the calendar year is done until March 31st of such year, with monthly confirmations and updates made/issued starting from the third month (m+3 forecast) ahead.

11. Sales reporting

By adhering to these instructions, the Distributors/Wholesalers ensure timely and accurate reporting, which is essential for effective business cooperation.

11.1. Responsibility overview:

- Sales reports is provided on a monthly basis.
- The draft of the sales report file is provided by Ugears via email at the beginning of each calendar year.
- The sales report file may be periodically updated by the Ugears.

11.2. Updated sales reports:

- Distributors/Wholesalers use the most recent and updated sales report form provided by Ugears Distribution Department.

11.3. Monthly reporting requirements:

- The monthly sales report includes the following:
- Distributor/Wholesaler`s Sell-Out data across different sales channels.
- Distributor/Wholesaler`s marketing expenditures for the reporting month related to Ugears products.
- Distributor/Wholesaler`s orders of Ugears products made within the reporting month.
- Accurate and valid warehouse stock information on Ugears products available in the Distributor/Wholesaler`s warehouses.

11.4. Submission deadline:

- Sales report files are sent no later than on the 15th day of the month that follows the reporting month.
- Sales reports are sent to the following email addresses: distrib@ugearsmodels.com

12. Labeling policy: (draft will be discussed with Latvia office)

12.1. Responsibility for labeling:

- All products in the Distributor/Wholesaler`s orders must be labeled.
- Distributors/Wholesalers are responsible for providing full and accurate label information, including translations.
- The Distributor/Wholesaler shall procure that labelling information complies with all applicable regulations.

12.2. Necessary information for labeling:

- Distributor/Wholesaler`s company name.
- Contact details (email, webstore, company`s business address).
- Additional information as per Distributor/Wholesaler's responsibility.

12.3. Procedure:

- Instructions managed by Ugears logistic manager.
- Labeling template shall be located in the Distributor/Wholesaler`s folder on the server.
- Labels shall be approved by the Distributor/Wholesaler.

13. Engraving policy:

13.1. Engraving service:

- Available for Ugears wooden models designated for corporate gifting.
- Minimum order quantity - 2 boxes.

13.2. Order placement:

- Orders for engraved models can be placed by the Distributor/Wholesaler or B2B company.
- Orders in territories with exclusivity agreements are forwarded accordingly.

13.3. Logos:

- Ugears logo remains on the model.
- Client's logo may replace Ugears logo in some places.
- No changes are made to packaging design.
- The limit of symbols for engraving will be consulted by Ugears Research and Development Department based on the model's design, dimensions, etc.

13.4. Order requirements:

- Shall contain Ugears model title and EAN code.
- Shall contain high-resolution client logo file (.ai, .eps, .pdf).
- Shall contain the client's name and company address.
- The client shall provide letter granting the right to engrave the logo and assuming all the responsibility therefrom
- The order on models with engraving have to be sent on following email address:
distrib@ugearsmodels.com

13.5. Visualization and production:

- Ugears Research and Development Department provides model visualization with client's logo within 3 working days after receiving all necessary materials.
- Production time is approximately 14 working days.

13.6. Delivery:

- Delivery time varies based on border-crossing timelines and shipment schedules.
- Individual confirmation required from the Distributor/Wholesaler.

14. After-sales and spare parts policy

- Please send your technical requests to the Ugears support team's email — customerservice@ugearsmodels.com
- Provide a complete description of the issue that you or your client has encountered. If possible, please send a photo or video of the issue.
- If you need to receive a set of spare parts, please send a request by email indicating the model name and number of the required parts. Parts will be prepared and sent to Riga.
- New models Go-to-Market. Spare parts - initial sets.
- To stick to the partners' purchase orders for each GTM SKU and to provide 2% donor sets on top of the order (but not more than 3 donor sets). That means to provide 1 donor set to 50-99 regular PO ordered sets of the partner or 2 donor sets to 100-149 or 3 donor sets to over >150 regular ordered sets

<50	0
50-99	1 technical set on top

100-149

2 technical sets on top

>150

3 technical sets on top

Donor sets do not include commercial package, printed instructions etc.

15. Special orders (Private label)

Developing a new model to fulfill special order requires involvement of Ugears Research and Development Department. This makes the development feasible only if the order suggests manufacturing of certain minimal quantity of the products.

Minimal quantity of the products manufactured within special orders:

- Mini models – 10 000 units of 1 SKU for 12 calendar months (minimum 2 years contract) or 15 000 units for 1 year contract
- Smart model – 7 500 units of 1 SKU for 12 calendar months (minimum 2 years contract) or 10 000 units for 1 year contract
- Classic model – 5 000 units of 1 SKU for 12 calendar months (minimum 2 years contract) or 7 000 units for 1 year contract

If the client is not going to order minimal quantity of the products above, the parties may agree that Ugears will obtain all necessary rights and permissions to commercialize the model as the latter sees fit.